

cent would mean that for every Rs 100 of their deposits, banks must deposit Rs 4 with RBI. The banks did not earn any interest on CRR. SLR is that portion of their funds that banks have to compulsorily invest in government securities (bonds issued by the government). SLR investments earn interest, but the interest is much lower than the interest banks charge their corporate borrowers. Today CRR is 4 per cent and SLR 21.5 per cent (total: 25.5 per cent). Back then, the two ratios added up to nearly 50 per cent.

What this meant was that banks could only lend Rs 50 out of the Rs 100 they received as deposits. This reduced their ability to earn decent profits. Whenever CRR and SLR limits were raised, some banks had to borrow cash or securities to maintain compliance. Some banks realized that planned purchase of bonds to fetch optimum yields was a good way to boost earnings. But for most banks, buying and selling of bonds was done mostly to meet regulatory requirements.

To get around the stringent CRR/SLR rules, banks came up with a 'buyback' or 'ready forward' arrangement. Bank A, which needed cash, would sell some of the securities in its portfolio to Bank B, and a few days later buy back those securities at a slightly higher price. This difference was, in fact, the interest that Bank A was paying Bank B for the short-term loan. For Bank B, the difference in the buying and selling price was the interest it charged for lending the money for those few days.

There also existed a call money market in which banks, mutual funds and corporations could borrow funds from each other for short durations. But RBI had capped the interest rate chargeable in this market at 10 per cent. As a result, banks were not keen to lend in the call market, the rates they were charging through ready forward deals being much higher.

As the number of ready forward deals increased, so did the use of an instrument called bank receipt (BR). When Bank A sold securities to Bank B, often the securities – which were held in physical form, and not electronically – could not immediately be delivered to the buyer. So Bank A would issue a BR to Bank B that was valid until the time the securities were physically delivered to Bank B. Once the securities were delivered, the BR would expire. A BR was valid for 90 days or until delivery of the securities it represented, whichever was earlier. At least, that was the way it was meant to be under the rules for BRs.

Before long, BRs began to be misused on a large scale. In many transactions, the physical securities never changed hands; only the BRs did.